(13) Income Taxes

Income tax expense is based on taxable income determined in accordance with current enacted laws and tax rates. Deferred income taxes are recorded for the temporary differences between the financial statement and tax bases of assets and liabilities using currently enacted tax rates.

Income tax expense for the fiscal years ended June 30 were as follows (in thousands):

	2023	2022	2021
U.S. operations	$ 138,941	$ 135,077	$ 75,458
Non-U.S. operations	2,084	3,044	953
Income before income taxes	$ 141,025	$ 138,121	$ 76,411
U.S. operations	$ 34,679	$ 34,682	$ 15,812
Non-U.S. operations	539	159	594
Total income tax expense	$ 35,218	$ 34,841	$ 16,406
Effective tax rate	25.0%	25.2%	21.5%

The components of income tax expense for the fiscal years ended June 30 were as follows (in thousands):

	2023	2022	2021
Current:			
U.S. Federal	$ 29,139	$ 28,144	$ 10,617
U.S. State and Local	7,076	6,474	1,647
Foreign	185	575	492
Total current	36,400	35,193	12,756
Deferred:			
U.S. Federal	(1,362)	(610)	4,462
U.S. State and Local	(174)	674	(914)
Foreign	354	(416)	102
Total deferred	(1,182)	(352)	3,650
Total income tax expense	$ 35,218	$ 34,841	$ 16,406

The following is a reconciliation of our effective tax rate to the U.S. federal income tax rate for the fiscal years ended June 30 (in thousands):

	2023		2022		2021	
Income tax expense at U.S. Federal statutory tax rate	$ 29,616	21.0%	$ 29,005	21.0%	$ 16,046	21.0%
Increase (decrease) in income taxes resulting from:						
State and local income taxes, net of U.S. federal income benefit	5,203	3.7%	5,208	3.8%	2,565	3.4%
Change in valuation allowance	-	-	(591)	(0.4%)	(2,565)	(3.4%)
Foreign derived intangible income ("FDII") deduction	428	0.3%	(289)	(0.2%)	(130)	(0.2%)
Unrecognized tax benefits	(229)	(0.2%)	390	0.3%	48	0.1%
Share-based compensation	5	-	189	0.1%	72	0.1%
Other, net	195	0.2%	929	0.6%	370	0.5%
Total income tax expense (and corresponding effective tax rate)	$ 35,218	25.0%	$ 34,841	25.2%	$ 16,406	21.5%

ETHAN ALLEN INTERIORS INC. AND SUBSIDIARIES

The significant components of deferred tax assets recorded within the consolidated balance sheet were as follows (in thousands):

	June 30, 2023	2022
Lease liabilities	$ 32,411	$ 28,621
Employee compensation	2,218	2,167
Share-based compensation	139	271
Net operating loss carryforwards	318	340
Property, plant and equipment	151	1,309
Other	3,802	3,321
Total deferred tax assets	$ 39,039	$ 36,029

The significant components of deferred tax liabilities recorded within the consolidated balance sheet were as follows (in thousands):

	June 30, 2023	2022
Operating lease right-of-use assets	$ 28,724	$ 24,965
Intangible assets other than goodwill	9,047	9,041
Commissions	3,032	5,006
Other	652	615
Total deferred tax liabilities	$ 41,455	$ 39,627

Deferred tax balances are classified in the consolidated balance sheets as follows (in thousands):

	June 30, 2023	2022
Other assets	$ 640	$ 820
Other non-current liabilities	(3,056)	(4,418)
Total net deferred tax asset (liability)	$ (2,416)	$ (3,598)

We evaluate our deferred taxes to determine if the “more likely than not” standard of evidence has not been met thereby supporting the need for a valuation allowance. The evaluation of the amount of net deferred tax assets expected to be realized necessarily involves forecasting the amount of taxable income that will be generated in future years. We have forecasted future results using estimates management believes to be reasonable. Our forecasts are based on our best estimate of expected trends resulting from certain leading economic indicators. The realization of deferred income tax assets is dependent on future events. Actual results inevitably will vary from management's forecasts which may be impacted by a sustained economic downturn, or significantly extended economic recovery. Such variances could result in adjustments to the valuation allowance on deferred tax assets in future periods, and such adjustments could be material to the financial statements. A valuation allowance must be established for deferred tax assets when it is more likely than not that assets will not be realized. At June 30, 2023, there was no valuation allowance in place against the Company’s tax assets. The valuation allowance previously recorded of $0.6 million against the retail segment’s Canadian tax assets was removed during fiscal 2022 as it was then considered more likely than not to be realized based on the performance and related positive earnings generated by the retail segment’s Canadian operations over the past 36 months.

The deferred tax assets as of June 30, 2023 associated with net operating loss carryforwards and the related expiration dates are as follows (in thousands):

	Deferred Tax Assets	Net Operating Loss Carryforwards
Various U.S. state net operating losses, expiring between 2031 and 2040	$ 208	$ 2,689
Canada net operating loss, expiring 2039	$ 110	$ 417

Uncertain Tax Positions

We recognize interest and penalties related to income tax matters as a component of income tax expense. As of June 30, 2023, we had gross unrecognized tax benefits totaling $3.0 million, an increase from $2.5 million as of June 30, 2022. We had approximately $0.3 million accrued for interest as of June 30, 2023 and 2022, respectively. If the $3.0 million of unrecognized tax benefits and related interest as of June 30, 2023 were recognized, approximately $2.4 million would be recorded as a benefit to income tax expense.

A reconciliation of the beginning and ending amount of unrecognized tax benefits including related interest is as follows (in thousands):

	June 30, 2023	2022
Beginning balance	$ 2,474	$ 1,984
Additions for tax positions related to the current year	817	853
Additions for tax positions of prior years	170	94
Reductions resulting from a lapse of the applicable statute of limitations	(461)	(457)
Ending balance	$ 3,000	$ 2,474

It is reasonably possible that various issues relating to approximately $0.3 million of the total gross unrecognized tax benefits as of June 30, 2023 will be resolved within the next twelve months as exams are completed or statutes expire. If recognized, approximately $0.3 million of unrecognized tax benefits would reduce our income tax expense in the period realized. While the amount of uncertain tax benefits with respect to the entities may change within the next twelve months, it is not anticipated that any of the changes will be significant.

The Company conducts business globally and, as a result, the Company or one or more of its subsidiaries files income tax returns in the United States, various state, local, and foreign jurisdictions. In the normal course of business, our tax filings are subject to examination by federal, state and foreign taxing authorities. As of June 30, 2023, our U.S. federal income tax return for the tax year of 2019 through the current period remain subject to examination. In addition, we conduct business in various states, which are subject to audit from fiscal year 2018 to the current year. Our foreign operations in Canada, Mexico and Honduras remain subject to examination for the 2018 tax year through to the current period.